

Copper First Amended Counterclaim

Filed: May 12, 2025 District ECF No. 14 Civil Action No. SYN-NDWV-25-CV-0618

United States District Court for the Northern District of West Virginia

Pleading designation: Copper Kestrel's superseding amended counterclaim.

Asterglen Freight Software, Inc., Plaintiff and Counterclaim Defendant, v. Copper Kestrel Logistics, LLC and Meridian Silt Holdings, LLC, Defendants.

Copper Kestrel files this First Amended Counterclaim against Asterglen. It replaces Copper's earlier counterclaim and clarifies the contractual procedure, loss categories, and requested relief without changing the total demand of \$120,000.

1. Copper and Asterglen signed the Pilot License on April 15, 2024. The initial schedule covered twelve terminals.
2. Copper requested a potential expansion involving twenty-nine additional terminals and sent a proposed change order dated June 3. Asterglen did not sign that proposal.
3. Asterglen nevertheless undertook technical evaluation of the requested configuration. It issued written load-test conditions on June 10 and provisioned identifiers needed for monitored work.
4. Copper retained Meridian Silt under a separate June 14 statement of work to carry out mapping, testing, and transition tasks. Meridian's agreement did not amend the Pilot License.
5. By July 1, Asterglen had provisioned forty-one identifiers in total. The parties later disagreed about which uses those identifiers permitted.

Contractual Procedure

6. Section 9.2 requires a party asserting a remediable breach to give written notice that describes the breach and allows fifteen calendar days to cure before termination or breach damages.
7. That procedure protected Copper from abrupt service loss and gave both contracting parties a defined interval to verify and correct disputed conditions.
8. A cure opportunity was especially important where technical records could distinguish provisioned, configured, tested, and operational environments. The mere creation of a credential did not reveal its use.
9. During a July 8 call, Asterglen made statements Copper understood as permission to continue monitored testing across the proposed terminal group. Asterglen now disputes that understanding and characterizes its statement as narrower.
10. No signed amendment followed, but the participants continued collecting data under their competing understandings. Copper did not conceal that Meridian remained involved in the evaluation.
11. Asterglen conducted an audit dated July 18. Its count included all forty-one identifiers, including the twelve original entries and twenty-nine created in connection with the proposed expansion.
12. Copper explained that it could return the active set to the original twelve terminals within three business days. Copper was prepared to identify each environment, suspend disputed connections, and confirm the result from logs.
13. The alleged condition therefore was capable of correction within less than the contractual fifteen-day period.

Immediate Termination

14. On July 22, 2024, Asterglen sent a written communication purporting to terminate the Pilot License immediately and demanding \$480,000 in contract damages.
15. The communication allowed zero cure days. It did not state that Copper could avoid termination or damages by completing a reduction before a specified deadline.
16. Copper promptly disputed Asterglen's account and requested an opportunity to perform the three-business-day reduction. Copper also asked for continued access sufficient to complete an orderly transition.
17. Asterglen maintained that its termination and demand were already effective. It did not open a fifteen-calendar-day period under Section 9.2.
18. Asterglen's position prevented Copper from obtaining the procedure for which it had bargained. Whether earlier activity exceeded the June 10 conditions did not eliminate the express response period for a remediable breach.
19. A prospective reduction would have restored the active terminal count. Additional questions about completed activity could have been investigated without declaring immediate termination.
20. Meridian Silt performed status and shutdown-related work through July 25. That continued work did not make a cure impossible; it was part of the effort to identify configurations and protect operational data.
21. Asterglen's refusal to allow correction forced Copper to obtain substitute routing support on compressed timing and to address customer service disruptions.

Count — Breach of Pilot License

22. Copper incorporates paragraphs 1 through 21 of this First Amended Counterclaim.
23. The Pilot License is an enforceable agreement. Copper performed its obligations, was ready and able to cure any remediable condition, or was excused when Asterglen made the agreed cure process unavailable.
24. Asterglen breached Section 9.2 by imposing termination and breach damages without providing written notice followed by a fifteen-calendar-day opportunity to cure.
25. Asterglen also hindered performance by restricting the access and coordination needed to reduce the disputed configuration after Copper requested cure.
26. The failure to follow Section 9.2 was material because it deprived Copper of the contract's specified protection against sudden termination for a correctable technical condition.
27. Copper's proposed three-business-day plan was concrete and feasible. It called for freezing changes, validating active connections, reducing the permitted set to twelve, and supplying confirmation.
28. As a direct and foreseeable result of Asterglen's breach, Copper incurred substitute-routing costs and customer service credits. Those losses followed from abrupt termination, not from acquisition of an unexecuted expansion license.
29. Copper seeks \$120,000. It does not request specific performance of the June 3 proposal and does not ask the Court to declare that twenty-nine additional production licenses were purchased.

Damages and Mitigation

30. Copper incurred incremental emergency dispatch labor and temporary routing services reasonably required after Asterglen's immediate action. It also incurred technical restoration and validation expense during the ensuing transition.
31. Copper incurred or became obligated for customer service credits attributable to interruptions during the accelerated transition. Copper will produce records supporting every category, transaction reference, basis, and calculation.
32. The combined amount for emergency labor, temporary routing, customer credits, and restoration and validation is \$120,000. Copper excludes ordinary fees it would have paid during uninterrupted service and seeks no speculative profit on the unsigned change order.
33. Copper mitigated by proposing the three-business-day reduction, coordinating with Meridian Silt on status collection, preserving configuration evidence, and obtaining substitute support rather than allowing routing functions to remain disrupted.
34. Asterglen may contend that Copper should have reduced sooner. Copper responds that it reasonably relied on the June written test process, Asterglen's provisioning, monitoring, and the July 8 conversation until the audit dispute arose.
35. Any award on Asterglen's Count I and any award on this counterclaim involve overlapping facts. The Court may apply a lawful setoff after liability and damages are determined, without converting Copper's defensive position into an admission.
36. Copper's loss does not depend on whether Meridian Silt is liable on Count II. Meridian was Copper's service provider, and Asterglen's immediate termination independently triggered Copper's transition expense.

Prayer for Relief and Jury Demand

Copper requests that the Court enter judgment against Asterglen for \$120,000 in documented interruption, continuity, credit, and technical-restoration loss. Copper also asks for allowable interest, recoverable costs, appropriate setoff or recoupment, and further relief supported by the evidence.

Copper seeks a determination that Section 9.2 governed Asterglen's July 22 termination and contract-damages demand, and that a notice providing zero cure days did not satisfy the promised fifteen-calendar-day opportunity. Copper does not seek an adjudication that the proposed June 3 expansion became a signed amendment.

Copper demands a jury trial on all issues triable by jury. Disputed questions include the content of the July 8 oral communication, the use associated with the provisioned identifiers, whether the condition described in the audit was remediable, whether Copper's three-day reduction was feasible, and whether the claimed expenses resulted from immediate termination.

This amended pleading preserves Copper's defenses to the Complaint. It should be read together with Copper's Answer but supersedes the counterclaim portion of District ECF No. 8. Copper reserves amendment as allowed by the governing rules and scheduling order.

Respectfully submitted on May 12, 2025.

Counsel for Copper Kestrel Logistics, LLC Authorized counsel designation